76 to a dollar. Economists are warning of possible stagflation across the world—a scenario of low growth and high inflation. India, though, say top economists, is safe for the moment, as the underlying economic momentum is strong. But high energy prices remain a concern, as that makes it difficult to increase economic output. "The rise in energy prices is a headwind to growth, particularly as India imports 36 per cent of its energy needs and nearly half of its dense energy needs," says Neelkanth Mishra, co-head of APAC strategy and India strategist at Credit Suisse (see accompanying *Expertspeak*).

WHO IS PAYING THE PRICE?

In the micro, small and medium enterprise (MSME) sector, prices of some key inputs have risen in the past two years, eroding the manufacturers' profitability. The rise in the prices of brass, aluminium, steel and iron has been a death knell for Ajay Joneja, a Moradabad-based exporter of home décor goods, accent furniture and chandeliers to North America. "Commodity prices have gone out of control," he says. After being stable between March 2018 and March 2020, prices have gone up by nearly 60 per cent. The increase in freight costs too has been exponential. In 2019, a container from Mumbai to Houston would cost $2,500 (around Rs 1.9 lakh); today, it sets you back by $12,000 (over Rs 9 lakh). "We have never seen anything like this," says Joneja, who has two factories in Moradabad and an annual turnover of Rs 30 crore. "In earlier depressions, we saw an erosion of demand. Now, supply chains have been disrupted and freight rates have gone up."

Mild steel prices have doubled to Rs 80,000 per tonne from just two years ago (see graphic: *Prices of Major Commodities*). Stainless steel and aluminium alloy prices too have doubled, while nickel costs have grown four-fold. The Ukraine war saw steel production halted at three of its mills, curtailing production of 18 MT steel, and impacting supplies to India. "Trouble is, manufacturers enter into short-term contracts with buyers, which have no clause for price escalation," says Anil Bhardwaj, secretary general of the Federation of Indian Micro, Small and Medium Enterprises (FISME). This means they are unable to hike their prices even though their raw material costs have risen, as have transportation costs. With ships avoiding certain ports in eastern Europe due to the war in Ukraine, sea and air freight charges have increased significantly. "Worse, India does not have a global shipping line or port," says Bhardwaj. There has been a 15-20 per cent increase in packaging costs alone.

Profit margins for firms are down by 50-70 per cent. Animesh Saxena, president of FISME and owner of Niti Apparel, LLP, bemoans the massive margin and bottom-line pressure on MSMEs on account of rising input costs.

LUCKNOW
SHRINKHALA DIXIT, 38
Make-up artist



MANEESH AGNIHOTRI

Shrinking Clientele

Owner of a beauty parlour in Lucknow's Gomti Nagar area, Dixit has been finding it difficult to support her family of four on her monthly income of Rs 80,000. Their monthly household expenditure has jumped 25 per cent to Rs 75,000 in a year. The rise in the prices of pulses, vegetables and consumer goods apart, the things that she needs for her business have also become costlier. Waxing kits, for example. Their cost has gone up from Rs 900 per kit earlier to Rs 1,200 now. However, while her expenses have increased, Shrinkhala's income has not; if anything, business has been lacklustre in the wake of the pandemic. "Some of my clients have stopped coming because they think make-up is now a luxury," she says. She has a car but the high fuel prices are a deterrent. "I want the government to reduce fuel prices and control the prices of essential goods," she says.

– Prashant Srivastava